

ECO461 • LECTURE #02

Ten Principles of Economics

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Learning Objectives



What kinds of questions does economics address?



What are the principles of how people make decisions?



What are the principles of how people interact?



What are the principles of how the economy as a whole works?

BEFORE WE DIVE IN

The Big Ideas

1 Incentives matter

2 Good institutions align self-interest with the social interest

3 Trade-offs and opportunity cost

4 Thinking on the margin

5 The power of trade

6 Importance of wealth and economic growth

7 Institutions matter

8 Economic booms and busts can't be avoided, but can be moderated

9 Inflation and money supply

10 Central banking is a hard job

What Economics Is All About



Scarcity

The limited nature of society's resources.

Economics: The study of how society manages its scarce resources for example:



Households

How people decide what to buy,
how much to work, save, and spend.



Firms

How firms decide how much to
produce and how many workers to
hire.



Society

How society divides resources
between defense, consumer goods,
the environment, and other needs.

What Economics Is All About



How People Make Decisions



How People Interact



How the Economy as a Whole Works

Ten Principles

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PRINCIPLE #1

People Face Tradeoffs

2

PRINCIPLE #2

The Cost of Something Is What You Give Up to Get It

3

PRINCIPLE #3

Rational People Think at the Margin

4

PRINCIPLE #4

People Respond to Incentives

5

PRINCIPLE #5

Trade Can Make Everyone Better Off

Ten Principles

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PRINCIPLE #6

Markets Are Usually a Good Way to Organize Economic Activity

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PRINCIPLE #7

Governments Can Sometimes Improve Market Outcomes

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PRINCIPLE #8

A Country's Standard of Living Depends on Its Ability to Produce Goods & Services

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PRINCIPLE #9

Prices Rise When the Government Prints Too Much Money

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PRINCIPLE #10

Society Faces a Short-Run Tradeoff Between Inflation and Unemployment

THE PRINCIPLES OF

How People Make Decisions

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PRINCIPLE #1

People Face Tradeoffs

All decisions involve tradeoffs. Examples:

- Going to a party the night before your midterm leaves less time for studying.
- Having more money to buy stuff requires working longer hours, which leaves less time for leisure.
- Protecting the environment requires resources to produce that could otherwise be used for consumer goods.
- **Classic trade-off: “guns and butter”**

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PRINCIPLE #1

People Face Tradeoffs

Society faces an important tradeoff: efficiency vs. equality



Efficiency

When society gets the most (maximum benefits) from its scarce resources.



Equality

When prosperity (benefits) is distributed uniformly among society's members.

The Tradeoff: To achieve greater equality, government could redistribute income from wealthy to poor. But this reduces the incentive to work and produce, shrinking the size of the economic “pie.”

2

PRINCIPLE #2

The Cost of Something Is What You Give Up to Get It

- Making decisions requires comparing the costs and benefits of alternative choices.
- The opportunity cost of any item is whatever must be given up to obtain it.

It is the relevant cost for decision making.

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PRINCIPLE #2

The Cost of Something Is What You Give Up to Get It

Examples — the opportunity cost of...



...going to college for a year

is not just the tuition, books, and fees, but also the foregone wages.



...watching a movie

is not just the price of the ticket, but the value of the time you spend in the theater.



PRINCIPLE #3

Rational People Think at the Margin

Rational people:

- Systematically and purposefully do the best they can to achieve their objectives, given the available opportunities.
- Make decisions by evaluating costs and benefits of marginal changes (incremental adjustments to an existing plan).

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PRINCIPLE #3

Rational People Think at the Margin

Examples



A student weighing an extra year of college

compares the fees and foregone wages to the extra income he could earn with the extra year of education.



A manager deciding whether to increase output

compares the cost of the needed labor and materials to the extra revenue.

HOW PEOPLE MAKE DECISIONS

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PRINCIPLE #4

People Respond to Incentives



Incentive: something that induces a person to act, i.e. the prospect of a reward or punishment.

Rational people respond to incentives. Examples:



When gas prices rise, consumers buy more hybrid cars and fewer gas-guzzling SUVs.



When cigarette taxes increase, teen smoking falls.

THE PRINCIPLES OF

How People Interact

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PRINCIPLE #5

Trade Can Make Everyone Better Off



Rather than being self-sufficient, people can specialize in producing one good or service and exchange it for other goods.

Countries also benefit from trade & specialization:



Get a better price abroad for goods they produce



Buy other goods more cheaply from abroad than could be produced at home

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PRINCIPLE #6

Markets Are Usually a Good Way to Organize Economic Activity

Market:

- A group of buyers and sellers (need not be in a single location).

“Organize economic activity” means determining:

- What goods to produce
- How to produce them
- How much of each to produce
- Who gets them

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PRINCIPLE #6

Markets Are Usually a Good Way to Organize Economic Activity

- A market economy allocates resources through the decentralized decisions of many households and firms as they interact in markets.
- Firms and households interact in the marketplace, where prices and self-interest guide their decisions.
- All buyers and sellers are interested primarily in their own well-being.

HOW PEOPLE INTERACT

Principle #6 — Markets Are Usually a Good Way to Organize Economic Activity



Households and firms interacting in the markets act as if they are guided by an “invisible hand” that leads them to desirable market outcomes and promotes general economic well-being.

Adam Smith — An Inquiry into the Nature and Causes of the Wealth of Nations (1776)

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PRINCIPLE #6

Markets Are Usually a Good Way to Organize Economic Activity

The invisible hand works through the price system:

- The interaction of buyers and sellers determines prices.
- Each price reflects the good's value to buyers and the cost of producing the good.
- Prices guide self-interested households and firms to make decisions that, in many cases, maximize society's economic well-being.



PRINCIPLE #7

Governments Can Sometimes Improve Market Outcomes

An important role for government:

- Enforce property rights (with police and courts).
- People are less inclined to work, produce, invest, or purchase if there is a large risk of their property being stolen.



PRINCIPLE #7

Governments Can Sometimes Improve Market Outcomes



Market failure: when the market fails to allocate society's resources efficiently.

Causes:



Externalities

When the production or consumption of a good affects bystanders (e.g. pollution).



Market Power

A single buyer or seller has substantial influence on market price (e.g. monopoly).

In such cases, public policy may promote efficiency.



PRINCIPLE #7

Governments Can Sometimes Improve Market Outcomes

- Government may also alter market outcomes to promote equity.
- If the market's distribution of economic well-being is not desirable, tax or welfare policies can change how the economic “pie” is divided.



Thank You

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